



Department for Levelling Up,
Housing & Communities

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Dear Matthew,

Thank you for your letter to the Rt Hon Greg Clark MP of 11 August, on matters arising from his building safety update of 30 July. I have been asked to reply as this matter falls within my ministerial responsibilities.

I am writing to respond to the three questions you asked relating to handling of Building Safety Fund (BSF) applications for buildings subject to the developer remediation contract. Please note that the developer remediation contract remains under discussion and has yet to be finalised. My answers below are based on the draft contract that we published on 13 July, and it is possible that the position will change before the contracts are finalised.

First, you asked for more information about the circumstances under which remediation of buildings that applied to the Building Safety Fund would be handed across to developers. Our intention is to give developers who wish to take responsibility for remediating building the opportunity to do so, without this slowing down the pace of remediation. We recognise that striking this balance is most challenging in cases where the BSF application is at an advanced stage.

With this in mind, our intent is that:

- In cases where the BSF has communicated to the applicant an award of funding for the full costs of remediation and signed a Grant Funding Agreement (GFA) with the applicant, the building will remain in the BSF and works will continue under the BSF to practical completion. The developer will reimburse DLUHC the full grant amount awarded, including any pre-tender support. This intent is reflected in clause 13.6 and the definition of "Stage D Fund Building" in the draft contract we published on 13 July.
- In cases where the BSF has communicated to the applicant an award of funding for the full costs of remediation, but a GFA has not been signed, we would normally expect the project to continue in the BSF. If the developer wishes to take on the works instead, however, then the developer can request to do so but must commit to, among other things, meeting the already identified start and completion dates. DLUHC would have discretion as to whether to accept this request from the developer. This intent is reflected in clauses 13.1-13.4 and the definition of "Stage C Fund Building" in the draft contract we published on 13 July.
- In cases where the BSF has not communicated to the applicant an award of funding, but the applicant has completed at least one tender, we will transfer responsibility to the developer but again subject to the developer meeting, among

other things, the identified completion dates. This intent is reflected in clauses 12.6-12.10 and the definition of “Stage B Fund Building” in the draft contract we published on 13 July.

We are closely monitoring those cases with a view to ensuring that leaseholders do not face unnecessary delay and uncertainty.

Second, you asked for reassurance that sunk costs associated with the preparation of any BSF applications that have been terminated and handed over to developers will not be passed on to leaseholders. This is certainly our intent.

Clause 14 in the draft contract (to which you refer in your letter) provides that developers are to reimburse to the Responsible Entity (RE) on demand all reasonable costs and expenses in connection with the carrying into effect of the developer’s obligations where the developer either takes on the work, or reimburses the Department for amounts spent by the relevant fund (for example, the BSF).

In addition, clauses 12.3(B)(ii), 12.8(C)(ii) and 13.3(C)(ii), in the draft contract provide that the developer will reimburse to the RE any costs incurred or irrevocably committed by the RE or charged by the RE to leaseholders in connection with any works to which the relevant Fund relates.

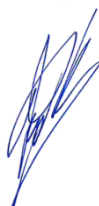
For buildings which will remain within the BSF, our intention is that any costs that are eligible for BSF (including any pre-tender support) will be covered by the BSF and reimbursed to DLUHC by the developer.

Third, you asked about provisions in the contract to enable leaseholders to monitor works to remediate their building and to hold developers to account for meeting their obligations. This is our intent. The draft contract we published on 13 July provides (see in particular clause 8) that the developer will provide regular information to the RE and will ensure that this information is shared with leaseholders. We expect that leaseholders will play a prominent role in holding developers to account for their performance, and in the ordinary course we would expect leaseholders to make their views known via the freeholder or managing agent.

We look forward to publishing a revised, final version of the developer contract in the near future.

I trust this information is helpful and I thank you for writing on this important matter

Yours sincerely,



PAUL SCULLY MP